GROUP 6 - ASSIGNMENT 4

# Proposal for Implementing AI for U.S. Bancorp

Industry: U.S. Banking
Company: U.S. Bancorp

Impact of AI in transforming the banking sector, considering the risk and regulatory implications, and a 12-24 month timeline proposal for introducing an AI-agent, named as commercial credit copilot.

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# Executive Summary

U.S. Bancorp is having intentions to involve AI and invest in AI agent in their processs around payments and investment services. Their best bet is on credit copilot, governed commercially which fasten their processes, help them being consistent and help the bank productivity to increase without eliminating the human accountability.

### Changes can bring in banking:

- Workflows that are heavy on knowledge and time consuming can be led by the copilot.
- AI channels can be used to scale up the customer experience and services.
- All the process that requires manual checking fraud, credit, and compliance, can be reviewed by AI to make a wift decision.

### Recommended Initiative

- In order to improve the process, it is recommended to launch an AI agent that can be named as AI Commercial Credit Copilot for commercial lending and middle-market teams.
- It can be started with drafting memo, Q&A for policy, warning support, and documentation checks
- As Human-AI collaboration, human should lead to take the final decision, approval as well as borrower communication.

### Expected Outcome

- This initiative can make the credit turnaround time faster approximately 20% to 30%.
- It can lower the effort on first draft memo around 40% to 60%.
- It can increase the productivity among teams around10% to 15%.
- It can make the risk discipline stronger by proper monitering and documentation.

Sources: U.S. Bancorp 2025 Annual Report; U.S. Bancorp Q4 2025 results; McKinsey (2024, 2025).

# Why This Company and Industry?



### Company - U.S. Bancorp

- U.S. Bancorp is large scaled and diverse company with around 70,000 employees with having assets in billions of dollars and operating in different areas like business, consumer, institutional, commerical, payments and wealth management.
- It is putting emphasis on execution in a disciplined way, innovation responsibly, investment and payments services safely.
- Implementing AI in this department is a big opportunity, but it comes with huge risk, hence it needs to be tackled with all possible caution.

### Ideal Industry for AI Implementation

- Banking is filled with huge data, workflows with huge volume and economics results that can be measured.
- McKinsey says that around $200 billon - $340 billion is the amount can be generated by the GenAI implementation in this industry.

### Why to Implement it now

- According to McKinsey and IACPM, AI can be adopted first in the commercial credit area, mainly from mid tier to large tier banks.
- It is still a good time to get ahead of this game and have that competitive advantage over other banks.
- U.S. Bancorp is taking a good step in taking time before implementing AI as this needs good governance and compliance.

Sources: U.S. Bancorp Annual Report 2025; U.S. Bancorp Q4 2025 results; McKinsey The future of AI in banking; McKinsey/IACPM credit survey.

# Integrating AI Across The Banking Value Chain



Within 1 to 3 years, AI can put a big impact in services like lending by making quick decisions, enabling relationship manager by analyzing the data faster, and making workflows swift in risk and compliance department by reducing manual review tasks and automating checks.

### Client Acquisition And Onboarding

- Verifying Identity
- Intaking the documents and knowing the customer

### Payments And Day-to-day Service

- AI agent for 24/7 suppport
- Tailored alerts for specific customers
- Handling exceptions

### Loan Processing And Credit Evaluation

- Drafting memo
- Replying Q&A regarding company policy
- Creating and completing document

### Managing Relationships

- Preparating for the meeting
- Drafting follow-up
- Recommending new products to the existing customers

### Risk Management, Fraud Detection, Regulatory Compliance

- Detecting fraud and scams
- Prioritizing alerts in the interest of time
- Giving early signals for potential problem

### Banking Operations And Technology Support

- Giving quick search for company internal knowledge
- Suggesting code for quick fix or creating
- Providing quick Q&A support
- Providing automation for increasing productivity

**It is recommended to start the AI implementation with commercial credit in order to reduce the cycle time of reviewing and approving loans, reduce the labor intensity, and give strong oversight and compliance.**

# Data Quality and Integration for Banking Industry



*AI is only as reliable as the data feeding it - and banking data is notoriously fragmented.*

### Data Silos & Fragmentation

Credit, payments, CRM, loan origination, and collateral data sit in separate legacy systems. Reconciling these sources for a single AI model requires significant data engineering and governance work.

### Data Quality & Completeness

Incomplete, inconsistent, or outdated records - especially in commercial lending - reduce model reliability. Poor data quality is the leading cause of AI project failure in financial services.

### Privacy & Data Governance

Customer financial data is highly sensitive. AI systems must enforce strict access controls, data minimization, and consent frameworks - any breach can trigger regulatory penalties and reputational harm.

### Model Input Risk

Garbage in, garbage out: if training data contains historical bias (e.g., lending disparities), the model will perpetuate it. Continuous data auditing and bias testing are required to improve model performance.

Sources: McKinsey The future of AI in banking (2024); NIST AI RMF; Gartner Data Quality in Financial Services (2024); Federal Reserve SR 11-7.

# Regulatory Landscape and Accountability



*There is no single U.S. banking AI law - but a dense web of existing rules already applies.*

## Key Regulatory Frameworks

**Model Risk Management** - Federal Reserve SR 11-7 requires banks to validate, document, and monitor all models that influence decisions - including AI and ML models.

**Fair Lending & ECOA** - The Equal Credit Opportunity Act and Fair Housing Act apply whether a human or algorithm makes the credit call. Disparate impact liability does not disappear because a model produced the output.

**CFPB & Adverse Action** - CFPB expects explainable reasons for credit denials. AI-generated decisions must still produce human-readable adverse action notices consumers can understand and contest.

**Privacy & Cybersecurity** - Gramm-Leach-Bliley Act (GLPA), state privacy laws, and the FTC Safeguards Rule govern how customer data is collected, stored, and used in AI training or inference.

**Third-Party Risk (OCC)** - OCC Guidance (2023) requires banks to perform the same due diligence on AI vendors as any third party. Banks remain responsible for outsourced model outputs.

## Who Is Responsible for AI Errors?

### Business Owner

Accountable for workflow design, outcomes, and day-to-day controls. Cannot delegate accountability to the model or the vendor.

### Model Owner / AI CoE

Responsible for model performance, monitoring, documentation, and triggering revalidation when data or policy changes.

### Risk & Compliance

Validates controls and regulatory alignment; provides independent challenge. Required under SR 11-7 second-line responsibilities.

### Human Decision-Maker

For any credit or adverse action, a qualified human officer retains final sign-off. The model prepares; the person decides.

Sources: Federal Reserve SR 11-7; OCC Third-Party Risk Guidance (2023); CFPB/DOJ/FTC/EEOC Joint Statement on Automated Systems (Apr. 2023); GLBA / FTC Safeguards Rule.

# Risks and Mitigations



*Practical risk register: what can go wrong, how likely, and what we do about it.*

| Risk | Category | Likelihood | Impact | Mitigation |
|---|---|---|---|---|
| **Model Hallucination** | Model Quality | **Medium** | **High** | Ground outputs in retrieval from approved docs; require citation display and reviewer sign-off. |
| **Bias / Fair Lending Violation** | Regulatory | **Medium** | **High** | Run fairness testing by segment; prohibit AI from issuing final adverse decisions; monitor overrides. |
| **Confidential Data Leakage** | Security | **Low** | **Very High** | Bank-controlled environments; role-based access; encryption; contractual controls on all vendors. |
| **Staff Overreliance** | Operational | **High** | **Medium** | Training on tool scope; sampled QA of outputs; mandatory human approval before committee use. |
| **Model Drift / Stale Policy** | Model Quality | **Medium** | **Medium** | Version prompts and policies; monitor output quality; trigger revalidation when data or policy changes materially. |
| **Third-Party Concentration** | Vendor Risk | **Low** | **High** | Vendor due diligence; defined exit plans; keep critical workflow logic modular, not vendor-locked. |
| **AI-Enabled Fraud / Deepfake** | Cybersecurity | **High** | **High** | Enhanced fraud detection controls; employee awareness training; layered authentication for high-value transactions. |

**Guiding principle: design for human review at every consequential step — AI organizes, humans decide.**

Sources: NIST AI RMF (2023); McKinsey AI risk framework; Federal Reserve SR 11-7; U.S. Bancorp Annual Report 2025 (risk factor disclosures).

# Evidence That AI Is Already Delivering In Banking



### Example 1: Morgan Stanley

- Its OpenAI-powered knowledge assistant reached 98% adoption across advisor teams.
- Use case focus: rapid retrieval of internal research and policy knowledge, plus meeting support and drafting assistance.
- Executive implication: bankers will increasingly expect assistant-led workflows, not manual search.

**98%**
advisor team adoption

### Example 2: Bank of America Erica

- By March 10, 2026, Erica had surpassed 3.2 billion client interactions.
- In 2025 alone, 20.6 million users interacted with Erica nearly 700 million times.
- Executive implication: AI has moved from pilot status to scaled service infrastructure in major banks.

**3.2B+**
cumulative client interactions

Industry benchmark: McKinsey estimates gen AI could create $200B to $340B of annual value across banking, largely through productivity gains.

Sources: Morgan Stanley/OpenAI update (2024); Bank of America digital interactions update (Mar. 10, 2026); McKinsey The future of AI in banking.

# Risks, Limitations, And Regulatory Considerations



## Data And Model Limits

- Data is often spread across multiple systems such as core banking platforms, loan origination tools, CRM systems, document repositories, and even manual records, which makes it difficult to access and use efficiently.
- Generative models are helpful, but they can sometimes provide inaccurate information, miss important context, or present summaries with too much confidence even when the output is not fully reliable.
- It is still challenging to clearly explain how certain predictive models or automated workflows arrive at their decisions, which can create concerns around transparency and trust.
- If proper security controls are not updated in time, AI can also increase the risk of fraud and social-engineering attacks by making it easier for attackers to create more convincing and sophisticated threats.

## Regulatory Lens

- While there is currently no single law in the United States that specifically governs AI in banking, existing banking regulations and compliance requirements still fully apply.
- Guidance around model risk management, such as the Federal Reserve's SR 11-7 framework, continues to play an important role in overseeing the use of AI-driven models.
- If AI is involved in credit evaluation or lending decisions, banks must still comply with fair lending regulations and provide proper adverse action notices when required.
- Responsibilities related to data privacy, cybersecurity, record keeping, and third-party vendor risk continue to remain key board-level and governance obligations.

## Accountability

- The business owner remains responsible for how the workflow is designed and for the overall outcomes it delivers.
- The model owner is accountable for the model's performance, ongoing monitoring, and maintaining proper documentation.
- The risk and compliance teams are responsible for reviewing controls and ensuring everything stays aligned with regulatory requirements.
- Even when AI supports the process, the final credit decision should still remain under the responsibility of a human decision-maker.

**Practical takeaway: the goal is not autonomous banking decisions; it is controlled AI support inside a governed workflow with strong human review.**

Sources: Federal Reserve SR 11-7; NIST AI RMF; CFPB/Fed/FTC/EEOC joint statement (2023); U.S. Bancorp Annual Report 2025.

# Recommended Initiative: AI Commercial Credit Copilot



**Proposed scope: teams that lend to middle-market and commercial businesses; not a fully automated decision engine.**

## Problem To Solve

- Credit teams often spend a considerable amount of time searching through old memos, policy documents, transaction histories, financial statements, and collateral records just to locate the information they need.
- When issues arise, resolving them can take time, rework is often required, and relationship managers frequently experience delays while waiting for credit packages to be manually processed.

## What The Copilot Does

- It helps generate credit memos using information that has already been reviewed and authorized.
- It can identify missing documents, covenant breaches, or any exceptions that do not align with existing policies.
- It uses governed retrieval to provide reliable responses to bankers' questions related to the firm's internal credit policies.
- It also supports the credit team by helping frame follow-up questions and suggesting the next steps in the process.

## Why It Matters Strategically

- In practical terms, it enables faster responses to clients without requiring additional headcount.
- It improves document consistency and helps reduce audit-related confusion.
- This makes it a high-value AI use case for a regional bank looking to adopt targeted and impactful solutions.

**The human-in-the-loop principle says that AI makes plans, organises, and makes suggestions, but credit officers still make decisions, approve them, and talk about them.**

Sources: McKinsey/IACPM Banking on gen AI in the credit business (2025); U.S. Bancorp Annual Report 2025.

# High-Level Implementation Plan



0-3 months

## Design

- Clearly outline the business requirements, associated risks, and scope for the most important use cases.
- Arrange the critical data elements, data sources, and ownership responsibilities in a structured manner.
- Determine the required security, compliance, and governance controls to support the process.

4-6 months

## Build

- Establish a secure and dependable operational environment that remains compliant with all required policies and standards.
- Develop a retrieval layer to enable fast access to and effective management of critical information.
- Integrate workflows to support smooth, consistent, and efficient process execution.

7-10 months

## Pilot

- Prepare memos to ensure communication remains clear, professional, and consistent.
- Deliver accurate and dependable responses to policy-related queries.
- Conduct quality checks to confirm that the process is working effectively and accurately.

11-15 months

## Expand

- Keeping track of early warning indicators helps detect issues before they escalate.
- Support for RM follow-ups can help increase response rates and improve communication.
- Proper user training is essential to encourage correct and effective use of the product.

16-24 months

## Scale

- Implement it across all teams to ensure standardized and consistent usage.
- Develop dashboards based on key performance indicators (KPIs) to monitor performance and critical results.
- Conduct regular checks to ensure accuracy and smooth functioning over time.

**Indicative resourcing**

The core team consists of around twelve to eighteen members who oversee change management, product ownership, SME credit operations, data and machine learning engineering, workflow integration, model risk, and compliance requirements.

# Data Assets And AI Approach



## Main data assets

- Past credit memos and approval decisions
- Financial statements and spread data
- Deposit, payment, and transaction behavior
- CRM notes and meeting summaries
- Collateral, covenant, and exception records
- Credit policy manuals and procedures

## High-level AI design

**1. Ingest**
Approved internal documents and structured data

>

**2. Retrieve**
Policy, precedent, and borrower context via governed retrieval

>

**3. Analyze**
Generate summary, memo draft, exceptions, and follow-up prompts

>

**4. Review**
Human banker validates and edits before any formal decision use

>

**5. Monitor**
Track quality, bias, usage, and model drift over time

**Recommended technology approach: start in a secure internal environment, rely on retrieval from approved content, and ensure that confidential bank data is not used to train external models.**

# Governance Structure And Operating Model



*Operating principle: build once on a governed platform, then expand use cases only after controls, auditability, and business value are proven.*

**Executive Steering Committee**

Head of Commercial Banking · CRO · CIO/CTO · Chief Compliance Officer

### 1st Line: Business Ownership

- Own the product strategy for commercial lending or credit operations
- Design and streamline workflows for bankers and underwriters
- Monitor KPIs and oversee daily operational performance

### Technology & AI Delivery

- Support the AI Center of Excellence by focusing on data engineering and partnering with the platform team
- Develop prompts, build retrieval systems, and oversee ongoing monitoring
- Ensure secure deployment while managing releases efficiently

### 2nd & 3rd Line Oversight

- Oversee model risk management and perform independent validation checks
- Review compliance, privacy, and information security standards
- Conduct internal audits to ensure the design remains effective over time
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**Decision rights**

Every phase, from use-case approval to model validation and production release, should have clearly defined checkpoints. Any output that reaches the public or any recommendation that may impact decision-making must undergo detailed review, rigorous testing, and established escalation protocols.

**Operating principle: establish the solution on a governed platform first, then scale additional use cases only after controls, auditability, and measurable business value are validated.**

# Initiative-Specific Risks, Ethics, And Compliance



| Risk | Mitigation |
| --- | --- |
| **Hallucinated content** | Ensure that all outputs are grounded in information retrieved from approved documents and include appropriate citations. The content should also be reviewed and approved by a designated reviewer, with confidence indicators clearly shown. |
| **Bias or unfair treatment** | Perform fairness testing for each segment to ensure the model is not independently making final negative decisions. Continuously monitor trends in manual overrides and exceptions to identify any recurring issues or biases. |
| **Confidential data leakage** | To ensure safety and security while working with external vendors, operations should be conducted within bank-controlled environments, with role-based access, strong encryption, and clearly defined contractual safeguards in place. |
| **Model drift or stale policy** | Develop user friendly prompts and well defined policies, continuously monitor output quality, and conduct re-evaluations whenever there are major changes in data or policy requirements. |
| **Staff overreliance** | Train users on the tool's capabilities and limitations, supported by sample Q&A outputs for reference. In addition, implement approval checkpoints before the committee begins using the tool. |
| **Third-party concentration risk** | Carry out detailed vendor due diligence, define clear exit strategies, and ensure that essential workflow processes remain flexible and not tied to any one vendor. |

**Ethical position: the system must remain transparent and reviewable, with its primary purpose being to support and strengthen human judgment, not to obscure it.**

# Business Case And Success Metrics



### Illustrative Value Case AtScale

- Productivity and capacity gains: Increased packages handled per underwriter reduces manual rework and improves operational efficiency.
- Revenue acceleration: Faster turnaround times enhance client experience and help retain business.
- Enhanced risk management: Stronger completeness checks and early-warning indicators improve control consistency and reduce risk exposure.
- Estimated annual pre-tax value: $40M–$70M, pending validation during the discovery phase.

**$40M-$70M**

illustrative annual pre-tax value at scale

### KPIs To Define Success

- Credit processing time has been reduced by 20% to 30%.
- The effort required to prepare initial draft memos has decreased by 40% to 60%.
- First-pass completeness rates have improved by 15 to 20 percentage points.
- More than 70% of pilot teams have adopted the new system.
- Credit quality and exception rates have remained stable or shown improvement.
- Satisfaction levels among bankers and clients have improved compared to the baseline.

Important caveat: because public data does not disclose U.S. Bancorp's internal workflow volumes, the value range above is illustrative and should be pressure-tested in an 8 to 10 week discovery phase.

# Conclusion And Executive Ask



### Why Act

- Many banks are shifting from piloting AI assistants to deploying them on a broader scale. This creates an opportunity for regional banks to stand out by using AI strategically in the highest-value areas.

### Why This Use Case

- Commercial credit is data-rich, operationally intensive, and well-suited for measurement and control. It supports both growth and productivity while also enhancing documentation quality.

### Executive Decisions Needed

- Proceed with an 8–10 week phase to discover and validate the business case.
- Assign executive sponsors across the business, risk, and technology functions.
- Commit to a phased roadmap that starts with a pilot and scales over time, supported by clear governance checkpoints.

**Recommendation: approve a controlled commercial-credit AI program now, prove value in one core domain, and use that platform and governance model to scale future banking use cases.**

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# THANK YOU